

Causes of Market Failure

▼ What are the four categories used to classify goods

Rival - a good where ownership is established. Only one person can consume it once

Non-rival - a good without established ownership. Multiple people can consume it

Excludable - a good that has a criteria to meet before consumption, usually prices

Non-Excludable - a good without a criteria to meet

▼ What are private goods

They are rival and excludable

Such as clothing and food

▼ What are club goods

They are non-rival and excludable

Such as gyms and concerts

▼ What are common property resources

They are rival and non-excludable

Such as fish in the ocean

▼ What are public goods

They are non-rival and non-excludable

Such as public libraries and street lighting

▼ What is the tragedy of the commons

Refers to the overconsumption of common property resources, assuming no government regulations

Occurs as the resource is readily available and there are no restrictions on consumption

Once they are consumed, they are not available any more, leading to a depletion of the good

It can be fixed with

- size limits
- licensing
- restricting zones
- restricting times

▼ **What is the free rider effect**

Refers to the consumption of a resources without consideration for the upkeep of the resource

This can lead to overconsumption and rapid damage of a public resource

E.g. public transport gets trashed if it is free and accessible to everyone

Therefore ticketing is implemented to make people feel more safe and accountable

▼ **What are some policy options to address market failure?**

With common property goods

- enforce restrictions on consumption such as limits and zoning

With public goods

- create ownership of the resource such as fees and fines for damage